Bank of Leeds Investment Memorandum (2026)

Chesterfield Logistics Growth Programme

A Regional Logistics & Industrial Property Investment Strategy

Prepared for:
Bank of Leeds
Commercial Lending & Infrastructure Investment Division

Date:
July 2026

Investment Classification

Commercial Property • Logistics • Industrial Development • SME Lending

Programme Size

£42 Million

Executive Summary

The Bank of Leeds proposes a targeted investment programme to strengthen Chesterfield's position as one of the East Midlands' emerging logistics and industrial centres.

Rather than pursuing a multi-billion-pound national logistics hub, this proposal focuses on realistic, financeable projects that can be delivered over the next five years through commercial lending, property investment and public-private partnerships.

The programme centres on:

- expanding warehouse capacity,
- improving rail freight capability,
- supporting local manufacturing,
- developing commercial property,
- financing logistics businesses.

The objective is simple:

> **To establish Chesterfield as the preferred regional distribution hub serving South Yorkshire, Derbyshire and North Nottinghamshire.**

Why Chesterfield?

Chesterfield already enjoys several strategic advantages.

Located immediately adjacent to the M1 motorway, it provides excellent access to:

- Sheffield (20 minutes)
- Derby (35 minutes)
- Nottingham (45 minutes)
- Leeds (75 minutes)
- Birmingham (90 minutes)

The nearby Markham Vale Enterprise Zone has attracted significant industrial investment, while the town continues to benefit from relatively affordable commercial land compared with Sheffield and Nottingham.

Strategic Objectives

The programme has five priorities:

- Expand high-quality warehouse space.
- Increase industrial occupancy.
- Encourage greater use of rail freight.
- Support SME logistics businesses.
- Generate long-term rental income for investors.

Proposed Investment Programme

Project	Investment
Commercial warehouse development	£15.0m
Industrial units for SMEs	£7.5m
Rail freight improvements	£5.0m
Commercial property acquisitions	£6.0m
Road & site infrastructure	£3.5m
Business lending fund	£5.0m

Total Investment

£42 Million

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1. Commercial Warehouse Development

Investment

£15 Million

Develop approximately:

180,000 sq ft

of modern logistics space.

Target tenants include:

- regional distributors,
- food wholesalers,
- engineering suppliers,
- e-commerce fulfilment businesses.

Estimated rental income:

£1.5–1.8 million annually

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2. SME Industrial Estate

Investment

£7.5 Million

Construct flexible industrial units ranging from:

- 2,000 sq ft
- 10,000 sq ft

Target occupiers:

- engineering firms,
- precision manufacturing,
- fabrication,
- maintenance contractors,
- local logistics operators.

Capacity:

Approximately **25 businesses**

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3. Rail Freight Support

Investment

£5 Million

Work with Network Rail, freight operators and local partners to improve:

- loading facilities,
- freight sidings,
- container handling,
- road access to freight terminals.

The emphasis is on improving existing infrastructure rather than constructing a new inland freight terminal.

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4. Commercial Property Investment

Investment

£6 Million

Acquire:

- existing warehouse units,
- office buildings,
- industrial land.

Target:

Long-term rental portfolio.

Expected gross rental yield:

Approximately

6–7%

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5. Infrastructure Improvements

Investment

£3.5 Million

Support:

- internal estate roads,

- drainage,
- broadband,
- electric vehicle charging,
- landscaping.

These improvements increase occupancy rates and asset values.

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6. Logistics Growth Fund

Investment

£5 Million

The Bank of Leeds establishes a dedicated lending facility for:

- haulage firms,
- warehouse operators,
- manufacturing businesses,
- transport technology companies.

Loan size:

£100,000–£1 million

Financial Model

Rental Income

Warehouses

£1.6m

Industrial units

£750,000

Commercial offices

£300,000

Total annual property income:

Approximately £2.65 Million

Operating costs

£750,000

Net operating income

Approximately £1.9 Million annually

Business Lending

Fund size:

£5 million

Average interest rate:

6.5%

Expected annual interest income:

Approximately

£325,000

Property Value Growth

Investment:

£28.5 million

Projected completed value after five years:

Approximately

£35–38 Million

This assumes modest appreciation driven by improved occupancy and continued demand for industrial property.

Employment Impact

Construction

Approximately

150 temporary jobs

Permanent employment

Sector	Jobs
Warehousing	180
Manufacturing	120
Logistics	80
Administration	40

Total

Approximately 420 permanent jobs

Economic Impact

The programme is expected to:

- support local supply chains,
- increase industrial occupancy,
- improve business confidence,
- encourage inward investment,
- strengthen Chesterfield's logistics sector.

Estimated additional annual economic activity:

£18–25 Million

Financing Structure

Source	Amount
Bank of Leeds commercial lending	£20m
Private property investors	£12m
Developer equity	£6m
Local authority & grant funding	£4m

Expected Returns

Metric	Value
Total Investment	£42m
Property Income	£2.65m/year

Metric	Value
Lending Income	£0.33m/year
Net Operating Income	£1.9m/year
Target Investment Horizon	10 years

Delivery Programme

Phase 1 (2026–2027)

- land acquisition,
- planning,
- lending fund launch.

Investment:

£12 million

Phase 2 (2027–2029)

- warehouse construction,
- industrial units,
- infrastructure works.

Investment:

£22 million

Phase 3 (2029–2031)

- commercial lettings,
- property acquisitions,
- expansion of the lending portfolio.

Investment:

£8 million

Strategic Recommendation

The Bank of Leeds should pursue a **measured, commercially focused investment strategy** that builds on Chesterfield's existing strengths rather than attempting to create a new national logistics centre.

By concentrating on modern warehouse space, SME industrial units, selective rail freight improvements and a dedicated logistics lending fund, the Bank can generate stable long-term income while supporting regional economic growth.

Investment Thesis

Chesterfield occupies a strong strategic position on the M1 corridor and continues to benefit from demand for well-located industrial and logistics property. A targeted £42 million investment programme is proportionate to the local market, financially achievable and capable of delivering attractive rental yields, increased business activity and several hundred new jobs.

The proposal demonstrates how relatively modest capital, deployed alongside private developers and public partners, can strengthen Chesterfield's role as an important regional logistics and manufacturing hub without relying on speculative large-scale infrastructure projects.